OFFERING MEMORANDUM

Kingsley Suites | Oklahoma City, OK

Property	Kingsley Suites
Location	7132 Market Court, Oklahoma City, OK 41403
Property Type	Hotel
Size	239 guest rooms
Year Built	2012
Offering	Unpriced - Offers Due July 25, 2021

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 25 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 46 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

Demographics and Employment

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 17 meeting rooms. Market vacancy for comparable Hotel product stands at 6.8%, down from 4.2% two years ago. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Kingsley Suites is located in Oklahoma City, OK, a market that has recorded 11.1% population growth over the last five years. Investor demand for Hotel assets in Oklahoma City remains strong with recent trades at capitalization rates between 6.55% and 6.55%. The Oklahoma City Hotel market has experienced absorption of 3400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Trailing twelve-month occupancy was 94.9% with an average daily rate of $164 and RevPAR indexing above the competitive set. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Business Plan Progress

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 12 meeting rooms. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 11.6% with an equity multiple of 1.20x over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Projected levered IRR is 8.2% with an equity multiple of 1.7x over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 13 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Submarket Analysis

Rent growth in the submarket has averaged 4.1% annually over the past 9 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The Oklahoma City Hotel market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 18 meeting rooms. Median household income within a 7-mile radius of the property is approximately $359,000 and has grown 13.5% annually. Market vacancy for comparable Hotel product stands at 8.7%, down from 7.4% two years ago.

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Investment Overview

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 38 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Projected levered IRR is 9.9% with an equity multiple of 1.5x over the hold period.

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 47 meeting rooms. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

Market Overview

Rent growth in the submarket has averaged 5.1% annually over the past 4 years. The Oklahoma City Hotel market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Revenue is driven by transient corporate demand, group business and weekend leisure travel. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 29 meeting rooms. Rent growth in the submarket has averaged 4.0% annually over the past 5 years. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Investor demand for Hotel assets in Oklahoma City remains strong with recent trades at capitalization rates between 6.22% and 6.22%. The Oklahoma City Hotel market has experienced absorption of 3200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Kingsley Suites is located in Oklahoma City, OK, a market that has recorded 4.1% population growth over the last five years.

Investment Overview

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 8 meeting rooms. Trailing twelve-month occupancy was 90.3% with an average daily rate of $164 and RevPAR indexing above the competitive set. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Projected levered IRR is 2.6% with an equity multiple of 1.26x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 6 meeting rooms. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Demographics and Employment

Rent growth in the submarket has averaged 5.5% annually over the past 10 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 46 meeting rooms. Market vacancy for comparable Hotel product stands at 6.6%, down from 6.3% two years ago. Investor demand for Hotel assets in Oklahoma City remains strong with recent trades at capitalization rates between 5.33% and 5.33%.

Rent growth in the submarket has averaged 3.1% annually over the past 7 years. The Oklahoma City Hotel market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Kingsley Suites is located in Oklahoma City, OK, a market that has recorded 13.4% population growth over the last five years. Investor demand for Hotel assets in Oklahoma City remains strong with recent trades at capitalization rates between 7.15% and 7.15%.

Risk Considerations

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Raven Hotel	Chicago, IL	02/04/2026	330	$55,291,077	$231,343	8.03%	2019
Bayview Hotel	Milwaukee, WI	06/06/2026	158	$22,306,885	$93,334	7.64%	2002
Kingsley Hotel	Norfolk, VA	12/09/2024	252	$46,693,360	$195,370	7.58%	2010
Oakmont Inn & Suites	Omaha, NE	08/06/2022	162	$63,439,129	$265,436	5.28%	1975
Alder Hotel	Allentown, PA	03/06/2023	167	$26,533,708	$111,020	6.11%	1996
Foxglove Hotel	Birmingham, AL	10/12/2022	343	$46,801,986	$195,824	7.40%	1981
Fairmont Inn & Suites	Pittsburgh, PA	09/01/2023	137	$58,585,409	$245,127	6.17%	2005
Aspen Lodge	Tempe, AZ	12/02/2022	338	$48,452,853	$202,732	7.89%	2013
Calloway Suites	St. Louis, MO	12/15/2025	179	$37,137,019	$155,385	8.14%	1976
Eastlake Suites	Nashville, TN	10/18/2024	282	$44,145,299	$184,708	6.32%	2011
Hawthorne Suites	Portland, OR	08/17/2026	145	$27,283,635	$114,157	7.82%	1973
Zephyr Hotel	Savannah, GA	01/15/2022	224	$64,765,759	$270,986	7.21%	1998
Highland Inn & Suites	Atlanta, GA	06/17/2026	178	$71,863,929	$300,686	7.17%	2010
Ironwood Hotel	Salt Lake City, UT	11/02/2023	262	$59,321,850	$248,209	6.21%	2014
Glenview Lodge	Jacksonville, FL	06/04/2025	251	$26,850,305	$112,344	5.16%	2021
Lakeshore Inn & Suites	Baltimore, MD	01/03/2026	141	$54,419,177	$227,695	7.22%	2009
Newport Lodge	Hartford, CT	10/20/2024	331	$34,670,793	$145,066	8.00%	1978
Fairmont Suites	Madison, WI	09/10/2024	254	$70,439,048	$294,724	7.19%	1991
Verde Suites	Raleigh, NC	06/20/2022	122	$71,300,076	$298,327	7.79%	1998
Ironwood Inn & Suites	Newark, NJ	08/15/2023	302	$51,490,425	$215,441	7.29%	1977
Osprey Hotel	Columbus, OH	01/12/2026	142	$41,151,638	$172,183	7.39%	2020
Zephyr Lodge	Tempe, AZ	08/02/2024	128	$38,149,047	$159,619	8.15%	1970
Parkview Inn & Suites	Minneapolis, MN	10/02/2022	205	$67,101,203	$280,758	6.29%	2001
Eastlake Hotel	Raleigh, NC	12/23/2023	306	$23,366,005	$97,766	6.48%	1970
Bayview Suites	Omaha, NE	04/24/2022	208	$68,374,717	$286,087	5.39%	2018
Laurel Lodge	Greenville, SC	08/19/2022	185	$37,226,797	$155,761	7.97%	1978
Parkview Hotel	Madison, WI	07/04/2022	208	$55,279,163	$231,294	7.00%	2002
Glenview Inn & Suites	St. Louis, MO	12/03/2023	259	$25,079,903	$104,937	6.82%	2016
Thornton Suites	Charlotte, NC	01/12/2022	267	$35,516,375	$148,604	6.84%	1983
Onyx Lodge	Albany, NY	09/11/2025	303	$39,615,941	$165,757	7.06%	1967
Pelican Hotel	Birmingham, AL	04/22/2026	273	$66,371,682	$277,706	6.62%	1999
Birchwood Hotel	Jacksonville, FL	06/04/2022	148	$54,733,756	$229,012	8.14%	1993
Beacon Hotel	Albany, NY	06/09/2026	124	$62,756,227	$262,578	5.42%	1998
Lockwood Hotel	Denver, CO	11/18/2023	185	$43,015,785	$179,982	7.00%	2007
Everett Suites	Denver, CO	01/01/2023	151	$52,902,703	$221,350	5.13%	1988
Onyx Hotel	Columbus, OH	12/29/2024	214	$29,557,187	$123,670	5.50%	1982
Lantern Hotel	Buffalo, NY	02/03/2026	347	$42,523,343	$177,922	8.05%	1967
Marlow Inn & Suites	Seattle, WA	11/04/2025	259	$50,203,730	$210,057	7.28%	1985
Kingsley Hotel	Hartford, CT	08/10/2025	128	$46,066,885	$192,748	6.14%	1990
Eastlake Hotel	San Diego, CA	01/24/2024	233	$55,650,256	$232,846	6.69%	2011
Dover Hotel	Omaha, NE	12/14/2025	227	$36,710,199	$153,599	5.79%	2013
Osprey Suites	Columbus, OH	11/28/2024	201	$45,202,488	$189,132	7.88%	1991
Foxglove Inn & Suites	Atlanta, GA	12/03/2022	305	$48,056,994	$201,075	8.11%	2013

Report generated 07/25/2021. Figures are unaudited and subject to change.

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Building Systems

Kingsley Suites was originally constructed in 2012 and consists of 239 guest rooms in a building of 7 stories. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 23 meeting rooms. The roof is a 29-year membrane system with an estimated remaining useful life of 4 years.

Trailing twelve-month occupancy was 88.8% with an average daily rate of $164 and RevPAR indexing above the competitive set. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Operating Performance

Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $301,000, representing a 11.5% increase over the prior year. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 8 meeting rooms. Operating expenses totaled $331,000 or approximately 44.29 per square foot, with real estate taxes representing the largest line item. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 5 meeting rooms. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.63% reflects the in-place income and the stabilized occupancy assumption.

Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 5 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 40-year membrane system with an estimated remaining useful life of 5 years. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 28 meeting rooms.

Mechanical systems include rooftop package units and central plant equipment of varying age. Kingsley Suites was originally constructed in 2012 and consists of 239 guest rooms in a building of 38 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 10 years and are in average to good condition.

Valuation Discussion

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The going-in capitalization rate of 5.09% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.74x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $332,000 or approximately 6.60 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 7.62% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 12 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 89.2% with an average daily rate of $164 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Construction Details

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 3-year membrane system with an estimated remaining useful life of 10 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The hotel operates under a franchise agreement with Brookline Collection, with a complimentary breakfast, indoor pool and 6 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

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Disclaimer and Confidentiality

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Kingsley Suites and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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